1. A body in motion tends to remain in motion.
2. A body at rest tends to remain at rest.
3. What goes up must come down (gravity).
4. It takes more energy to go up than down (gravity).
5. There are no vacuums in nature.

One cannot expect to become a good market diagnostician overnight anymore than one could become a good doctor without the necessary years of practice and training.

Let us examine these verities and apply them to the market:

1. A Body in Motion Tends to Remain in Motion.
In the market we would call this *price momentum.* If a stock repeatedly failed to move above a price of 30 for a number of years and ultimately did better the 30 level it obviously had a price momentum it did not have in the past. The move above 30 would obviously carry the price still higher. Upside price breakouts through previous price resistance levels have *momentum* and the physical laws of motion can be profitably capitalized upon. This would equally apply when a stock declines below a previous low point. The downside momentum would carry through and a series of new lows would be expected to ensue.

2. A Body at Rest Tends to Remain at Rest.
Right away the *base formation* comes to mind. The stock is doing nothing and the base line may be adhered to for a number of years. . . . [Y]ou will discover how to differentiate between those stocks in base formations which may sit on their base for a number of additional years and those stocks